Growing recognition that some or all tick sizes must be increased (continued)

Name	Title	Firm or institution	Vantage point	Position	View
James Fehrenbach and Bradford Pleimann	Managing Director and Head of Equity Institutional Sales; Managing Director and Head of Equity Trading	Piper Jaffray	Growth company investment bank	For	Larger minimum trading increments ("tick sizes") are essential to revive support for the IPO and small capitalization markets. Without higher tick sizes, we believe that The JOBS Act will fail to broadly revive the IPO market and job growth - clear intents of Congress. The regulatory changes noted above - not just Decimalization but the changes that preceded Decimalization, created a U.S. equity market that is now geared to the trading of large capitalization stocks but has caused the steady erosion in aftermarket support (including liquidity) for small capitalization stocks. We believe that there is ample IPO "manufacturing capability" in the United States and an ample number of companies that could qualify to go public if the aftermarket support problem was solved through adequate economic incentives (increases in tick sizes). Increases in tick sizes, we believe, would do more for capital formation and job growth than all the other provisions of The JOBS Act, combined. It is the "missing link" for firms like Piper Jaffray, which have a long tradition of serving the growth company marketplace. 33
Phil Johnston	Partner, Head of Equities	ThinkEquity LLC	Growth company investment bank	For	In discussions with both sides of our business, quote increments or higher tick sizes could be essential to help create more investment and quite frankly enable the recreation of firms like Hambrecht & Quist, Montgomery, Robertson Stephens, and Alex Brown. Firms that were maniacally focused on supporting innovation and supporting small cap stocks from seed financings, all the way through to the IPO process and as small-cap public companies. Wider quote increments are essential to help revive support for the IPO and small capitalization markets. Without wider quote increments and other initiatives, The JOBS Act will fail to broadly revive the IPO market and job growth. We need to change the following statement, "When is the last time you heard about a company that wanted to go public?" The current environment needs to change so that statement can read, "We are excited to access the public markets" instead. Quote increments can be one step to encourage investment in growth and jobs. 34